85 WHIPPANY RD CARE PAD

Hanover Twp, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Hold: absorption. Arbor Terrace Florham Park (80 AL/MC, opening late 2027) uses up most of the unmet demand this pad needs. Hold behind Florham Park; do not pursue both.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$57.8M	**$23.1M · $34.7M**	**7.06%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
12.2% · 1.58x	**$13.3M**	**$2.62M**

THESIS

- **Approvability.** Care use permitted in zone; AL may need interpretation. Opposition risk is low.
- **Deal route.** Pad from JMF. JMF owns 86 ac; pad carve-out.
- **Need and rents.** Need 58, rent support 81 and approval 66 on a 100-point scale. About 10,022 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 7.06% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $72.5M on trended NOI of $4.71M. Max land at the floor is $10.7M against a $5.7M basis.

SOURCES AND USES

Land	$5.70M
Hard cost	$32.27M
Site work	$1.08M
Contingency	$1.67M
FF&E	$2.51M
Soft cost	$6.67M
Construction interest	$2.76M
Lease-up reserve	$5.10M
Total uses	**$57.75M**
Equity, 40% (LP 90% / GP 10%)	$23.10M
Construction loan, 60% LTC	$34.65M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Benchmark / National Development
Operator, second	Sunrise
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.06%	6.6%	12.2%	1.58x	$13.3M
Rents −10%	6.26%	2.7%	5.4%	1.23x	$5.3M
Hard costs +10%	6.57%	4.3%	8.2%	1.36x	$9.0M
Exit cap +50 bps	7.06%	4.2%	8.0%	1.36x	$8.2M
Lease-up +6 months	6.94%	5.7%	10.6%	1.57x	$13.4M
Combined downside	**5.74%**	**-1.6%**	**-3.4%**	**0.86x**	**−$3.5M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.74% and the levered IRR to -3.4%, a $3.5M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: GMP + PILOT.** GMP + PILOT holds breakeven: the combined downside still returns $7.4M of profit (6.85% YOC, 6.3% levered IRR). Condition: Needs a redevelopment-area designation for a long-term tax exemption (N.J.S.A. 40A:20). Not yet confirmed with the township.

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.06%	$13.3M	5.74%	−$3.5M	No
GMP contract	7.06%	$13.3M	6.03%	−$0.5M	No
GMP + PILOT	**7.90%**	**$21.8M**	**6.85%**	**$7.4M**	**Yes**
GMP + ground lease	7.17%	$13.1M	6.04%	−$0.4M	No
GMP + PILOT + ground lease	8.10%	$21.5M	6.94%	$7.5M	Yes
GMP + operator master lease	6.58%	$1.0M	6.42%	−$3.9M	No
Fee development for a nonprofit	8.57%	$28.5M	7.50%	$13.8M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 60% (Even). OB-RL3 permits nursing homes/hospitals; JMF approved for 400 homes + hotel.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.90x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Absorption	Hold. Whippany sits closer to the existing Whippany and Parsippany cluster and has a smaller 75+ base. With Arbor Terrace counted, unmet demand nearly disappears at a 10% need rate, so the pad does not support 114 units on its own. Hold it behind Florham Park; only one of the two should go forward.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Confirm AL under OB-RL3; call JMF.
2. Gate 1 · Feasibility by month 3, $0.19M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.30M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-06. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-06-proforma.xlsx